

TABLE II
WORKING CAPITAL PER MONTH

1. STAFF AND LABOUR			
Particulars	Number	Salary (₹)	Total salary (₹)
Manager (operation and business development)	1	20,000	20,000
Production supervisor	1	17,000	17,000
Clerk/typist/ accountant	1	10,000	10,000
Peon	1	5,000	5,000
Watchman	1	5,000	5,000
Skilled worker	2	8,000	16,000
Semi-skilled worker	4	6,000	24,000
TOTAL			97,000
Add perquisites @ 15% of salary			14,550
TOTAL			111,550
2. RAW MATERIALS			
Particulars	Price for 2500 pieces per month (₹)		
Super-enamelled copper wire (different gauges)	65,000		
Core material (laminations)	100,000		
Bobbins and forms	6,000		
Clamps, base plates, bolts and nuts	4,000		
Flexible leads/sleeves	1,000		
Impregnative materials (including varnish)	5,000		
Insulating material	2,000		
Consumables (solder, flux, packing material, etc)	2,000		
TOTAL	185,000		
3. UTILITIES			
Particulars	Average cost (₹)		
Power	2,500		
Water	500		
Total	3,000		
4. OTHER CONTINGENT EXPENSES			
Item	Amount (₹)		
Advertisement	3,000		
Travelling and conveyance expenses	5,000		
Transport and packaging	5,000		
Miscellaneous expenses	2,000		
Postage and stationery	500		
Repair and maintenance	2,000		
Insurance and taxes	2,000		
Rent (per month)	5,000		
TOTAL	24,500		
TOTAL WORKING CAPITAL PER MONTH (1+2+3+4)	324,050		

TABLE III
TOTAL CAPITAL INVESTMENT

Total capital investment	Cost (₹)
Fixed capital	456,450
Working capital for three months	972,150
Total	1,428,600

TABLE IV
COST OF PRODUCTION PER ANNUM

Financial analysis	Cost (₹)
Depreciation on plant and machinery @ 10%	31,950
Depreciation on office equipment and furniture @ 20%	10,000
Depreciation on tools, dies, jigs and fixtures @ 20%	9,000
Total working capital per month × 12	3,888,600
Interest on total capital investment @ 16%	228,608
Total	4,168,158

TABLE V
TURNOVER PER ANNUM

Item	Quantity	Rate per unit (₹)	Total sales (₹)
Power transformer	30,000	200	6,000,000

to Bureau of Indian Standards (BIS).

Financial analysis

Table I shows fixed capital, that is, land and building, and machinery and equipment. Table II shows the cost of working capital per month.

Total capital investment is given in Table III. Cost of production per annum is shown in Table IV. Turn over per annum is shown in Table V.

Profit before taxes = Turnover per annum - Cost of production per annum = ₹ 1,831,842

$$\text{Profit ratio} = \frac{\text{Profit per annum} \times 100}{\text{Sales per annum}}$$

$$= \frac{1,831,842 \times 100}{6,000,000} = 30.53\%$$

EFY

References

1. www.associatedtransformers.com
2. https://dir.indiamart.com
3. https://owlcation.com
4. http://sites.ieee.org
5. www.dcsmse.gov.in
6. http://sagar.nic.in
7. www.indiainfoonline.com

Disclaimer

The project report may be modified/tailored to suit individual entrepreneurship qualities/capacities, production programs and location characteristics, wherever applicable.

Prices are approximate.

6. Break-even point percentage indicated is of full capacity utilisation.

7. Project preparation cost, whenever required, can be considered under pre-operative expenses.

8. Essential production machinery and test equipment required for the project are indicated. The unit may also utilise common test facilities available at Electronics Test and Development Centres (ETDCs) and Electronic Regional Test Laboratories (ERTLs) set up by state governments and STQC, Directorate of Department of Information Technology, Ministry of Communication and Information Technology, to manufacture products conforming